Soviet Bloc continued. It had to be clearly understood that it would be futile to expect the Chinese to put up any big industries.'

After the birth of the R&AW, Indian policymakers slowly came around to the idea that Pakistan and China would do everything possible to turn Nepal against India. The government expected R&AW to create a well-conceived plan to neutralise the objectives of China and Pakistan and maintain a sense of good governance for the Nepalese populace for better diplomatic relations with the Himalayan country.

But the abrasions in the relationship became visible in the 1970s when the Nepalese monarchy rejected India's demand to restrict the growing presence of China and Pakistan on its soil. King Mahendra died in January 1972 and was succeeded by his son King Birendra Bir Bikram Shah Dev, who decided to continue the policy set by his father, leaving the R&AW team in Nepal disappointed. This team, led by Rajesh Garg, who played a significant role in Nepal's espionage theatre, neutralised an ISI plot in the Terai sometime in mid-1972. By this time, Nepal had become the field of a spy wars.

According to Garg, ISI chief Lt. General Ghulam Jilani Khan, who had taken charge of the intelligence agency in 1971, directly supervised the Pakistani mission in the Terai. Meanwhile, the R&AW had recruited an agent serving in Nepal's foreign ministry, known as KI 36 in Delhi. This man had been a 'walk-in'— he had volunteered to serve as an agent of the R&AW, demanding a high price for shared secrets. Garg said it took him some time to understand that the man did not want to work for the R&AW out of pure greed; he wanted the excitement of living on the edge. When Garg finally decided to trust the